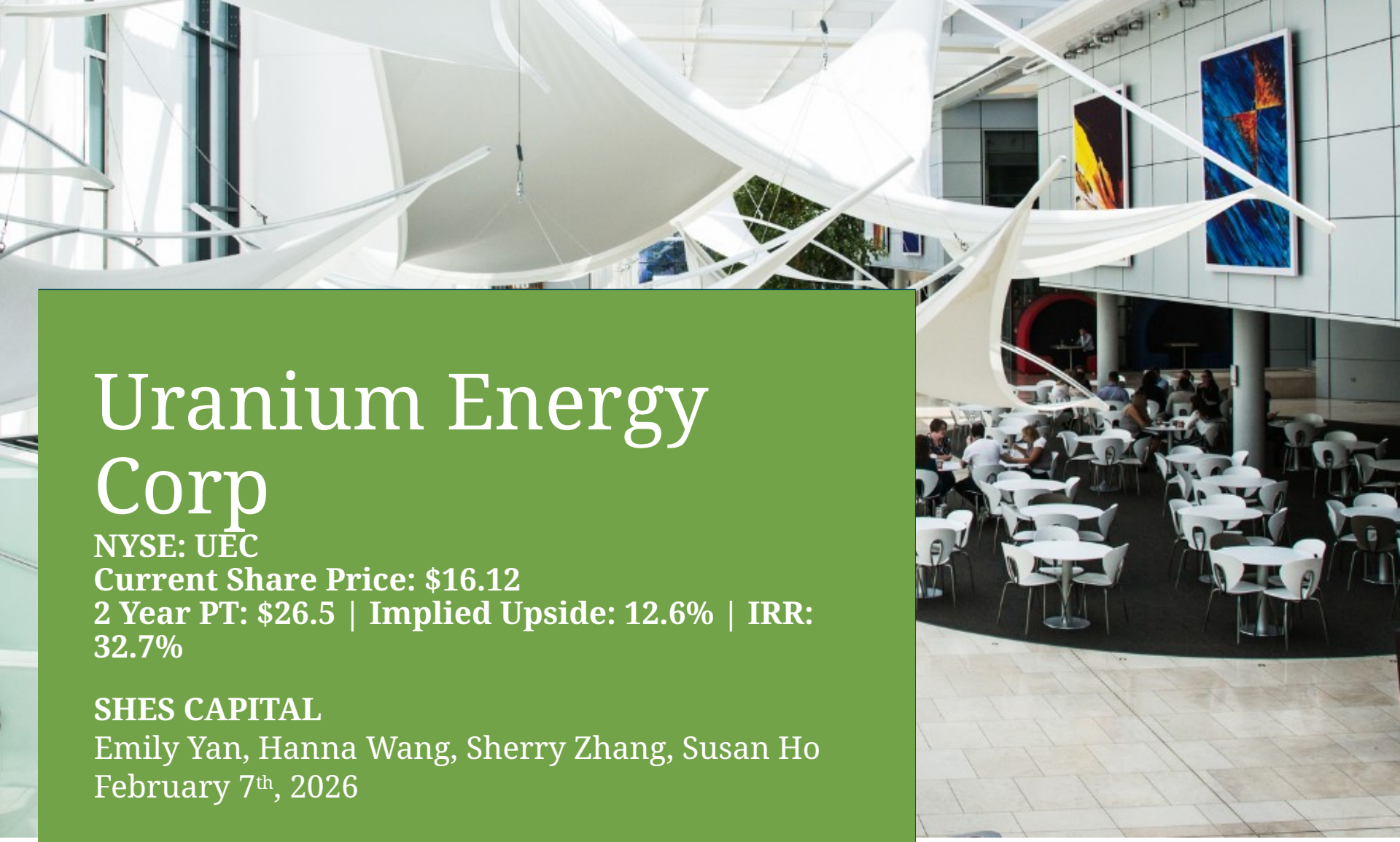


Uranium Energy Corp

NYSE: UEC
Current Share Price: $16.12
2 Year PT: $26.5 | Implied Upside: 12.6% | IRR: 32.7%

SHES CAPITAL
Emily Yan, Hanna Wang, Sherry Zhang, Susan Ho
February 7th, 2026

UEC
Uranium Energy Corp

Disclaimer

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All figures reported in $USD

ICLR presents an attractive risk/reward opportunity given it's currently trading at 8x LTM EV/EBITDA

Sources: Analysis

I.

Executive Overview

Executive Overview

Purchase a great business in a growing industry for a fair price

Why This Opportunity Exists:

- UEC is the fastest-growing North American producer with the largest federally licensed capacity, but its aggressive counter-cyclical acquisitions (such as Sweetwater) and refusal to sign minimum-price contracts have led to a decline in market risk perception.
- UEC's valuation multiples are compressed because stagnant short-term spot prices obscure the strategic value of its assets:
  - **Unhedged**: The market penalizes UEC for its lack of long-term contracts, failing to recognize that this 100% unhedged structure is a scarce feature that provides asymmetric leverage against spot price squeezes compared to capped peers.
  - I**nventory and dilution**: Investors ignore the strategic utility of UEC's approximately $698 million current balance sheet (inventory/cash), viewing it as a trading book rather than a non-dilutive bridge that can help the company finance mine restarts without harming shareholder value.
- Investors are myopically focused on daily spot price fluctuations, ignoring the "floor-and-ceiling" contract limits of major peers that cap their upside, while UEC remains the only large player with 100% unhedged exposure to the inevitable price breakout.

What Investors are Missing:

- **Strategic Independence & Unhedged Beta**: In a structural supply deficit, fixed-price contracts are a liability that caps upside. UEC is the only U.S. major with 100% unhedged exposure, meaning every $1 rise in spot price flows directly to the bottom line, perfectly aligned with U.S. energy security initiatives to ban Russian uranium.
- **Bypassing the need for massive mill construction:** Using the In-Situ Recovery (ISR) model, UEC feeds satellite deposits into existing, fully permitted central plants.
- **Non-dilutive funding bridge**: UEC's ~1.4M lb physical uranium inventory allows it to sell inventory at a profit to fund the Burke Hollow/Christensen Ranch restarts without tapping the equity markets.

ICLR presents an attractive risk/reward opportunity given it's currently trading at 8x LTM EV/EBITDA

Sources: Analysis

I.

Business Overview

Business Overview

Uranium Energy Corp is a leading U.S. mining company that develops low-cost ISR projects and supplies nuclear fuel for clean energy sectors.

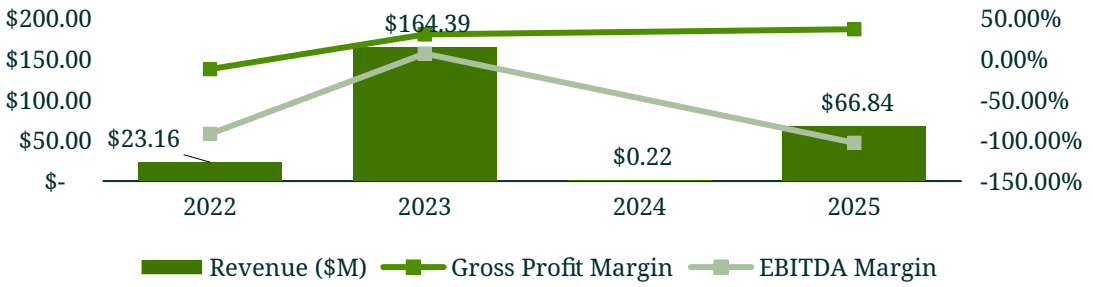
Business Description

- UEC is a **U.S.-focused uranium mining company** advancing a secure, domestic uranium supply to support clean energy and energy security.
- Operates a low-cost, environmentally responsible **In-Situ Recovery (ISR)** model, enabling scalable production with reduced capital intensity and operational risks.
- UEC **holds a diversified portfolio** of fully permitted projects across **Texas** and **Wyoming,** supported by **Irigaray Central Processing Plant (CPP)**, one of the largest uranium processing facilities in the United States.
- Establishing UEC as the **only vertically integrated** uranium company in the U.S., combining mining and processing with future refining and conversion.

Key Financials

Ticker	NASDAQ: UEC
Share Price	*$18.62*
Total Enterprise Value	*$*9.15B
Market Capitalization	*$9.60B*

Historical Financials



Management



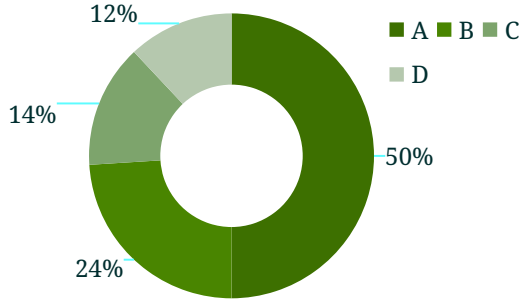
Amir Adnani, CEO & Founder
Orchestrated numerous acquisitions.



Scott Melbye, Executive VP
Industry veteran & lobbyist.

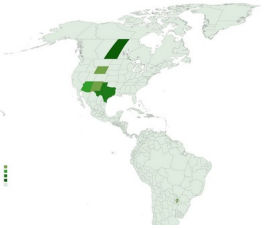
Segmentation Breakdown

Customer Revenue Concentration



Geographical Footprint

Operations in 82 Facilities and 29 Countries

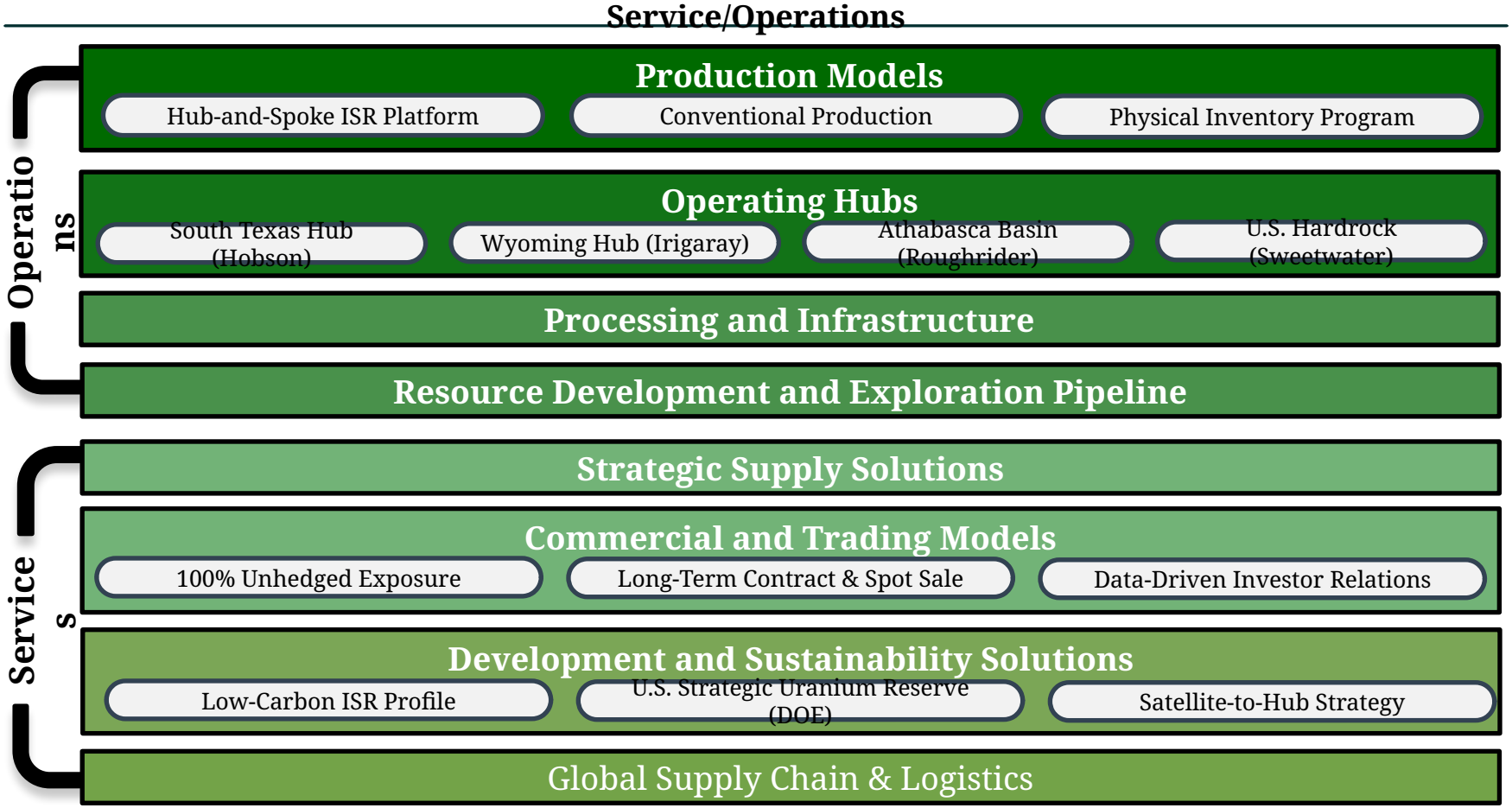


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Sources: Capital IQ, Company Filings

Market Solutions

Global CRO delivering full range of both operational and service-oriented support to satisfy all client needs



UEC ensures America's energy independence through scalable, hub-and-spoke operations and a hedging-free business strategy.

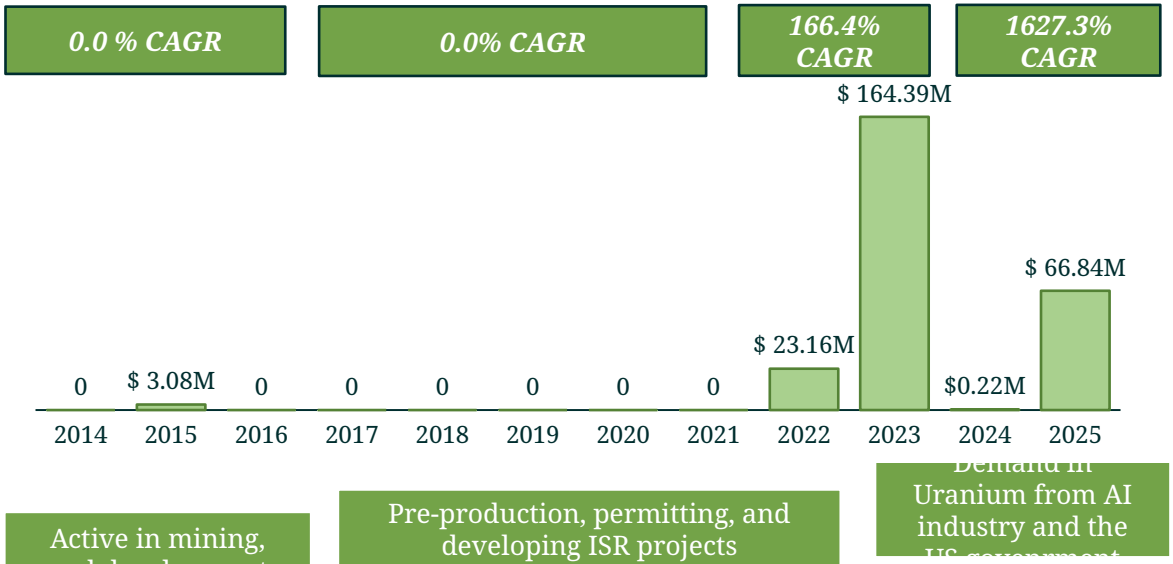
Sources: Company Filings

II.

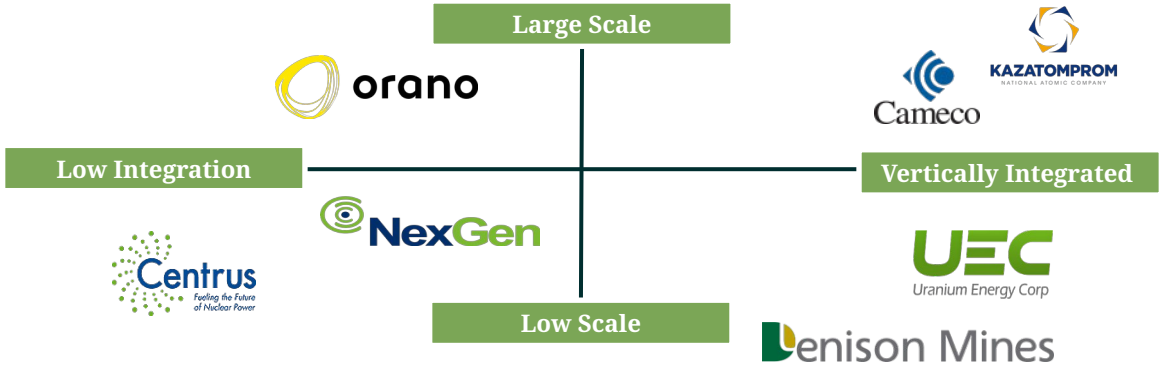
Industry Overview & Setup

Competition in the Industry

Despite other competitors, UEC remains in the Uranium mining market due to their current low-cost ISR technology in producing the uranium and maintaining strong balance sheet



Competitive Landscape



Consolidated UEC Domestic Market

UEC focuses on domestic U.S. production aligns with government initiatives to secure supply chains, particularly by reducing reliance on foreign sources.

Globally: Competitive Environment

UEC is a fully licensed in-situ recovery uranium producer, utilizing low-cost ISR technology and hub-and-spoke model to capitalize rising global demand.

UEC is ranked in the top 5th percentile when assessed on it sustainability practices against global diversified metals and mining companies.

Position as the only vertically integrated company in America from mining to conversion.

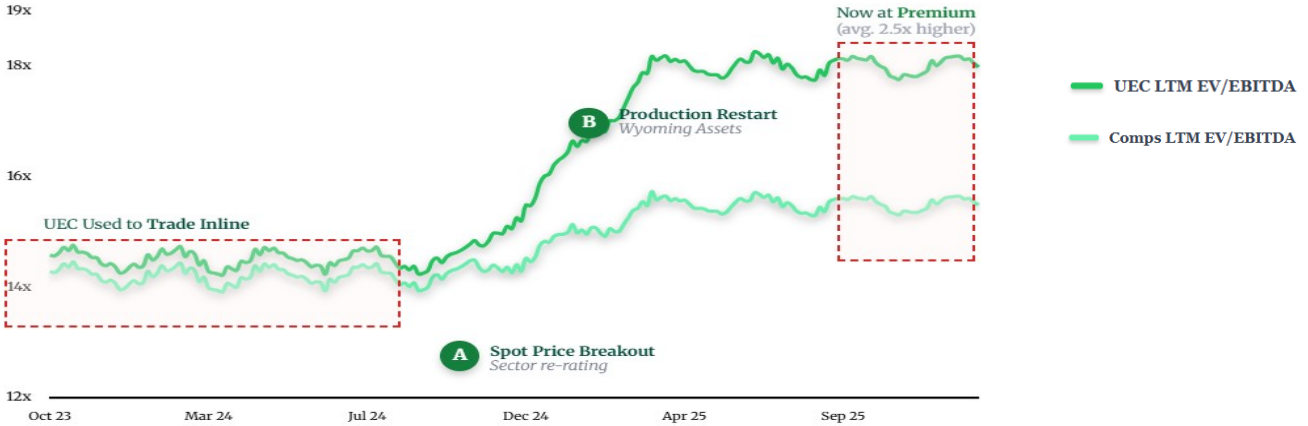
As of early 2026, UEC has a strong, debt-free balance sheets with over $200 million in cash.

Large, Low-Cost Uranium Producers Gain Share

Thesis Setup: The American First Strategy Premium

The market treats UEC as a standard junior miner basket case, correlating it with speculative explorers rather than valuing its strategic infrastructure.

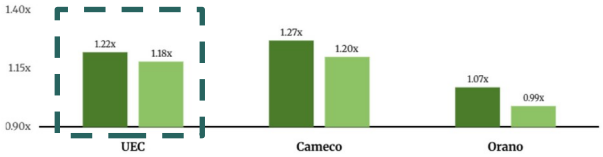
UEC's EV/EBITDA has expanded ~40% and now trades on average ~2.5x higher than peers



Street Believes UEC is Structurally Inferior...

1. **Lack of Long-term Contracts**
2. **Aggressive ramp-up and overconfidence**
3. **Capex blowout and labor cost due to inflation**

...But Street Misreads Headwinds as Structural Issues



1. The Prohibiting Russian Uranium Imports Act forces an immediate pivot to **domestic sources**, creating a structural vacuum that UEC is **positioned to fill.**
2. With new mill permitting taking **7-10 years**, UEC's existing infrastructure grants it an insurmountable **speed-to-market** advantage.

Street fails to recognize that ICON's setbacks are temporary hard-hitting headwinds rather than competitive disadvantages meaning

ICON Deserves to Trade In line with Peers

Sources: Analysis, Company Filings, Equity Research, S&P Capital IQ

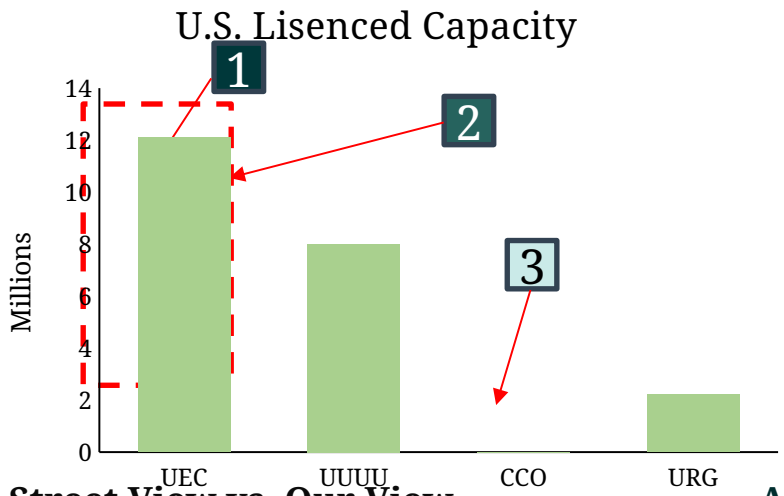
III.

Investment Thesis

Thesis I: Lack of Long-term Contracts

UEC's unhedged approach enable them to sell their uranium on the spot market rather than relying on traditional long-term, fixed-price contracts

Structural Realization of Sector Wide Tailwinds Push Stock Decline



1. UEC controls ~12.1M lbs./yrs of fully permitted capacity. Since it's already permitted, UEC does not need to sign low-price
2. Spot prices are around $85/lbs. while traditional contracts typically pay only $50-$60/lbs. UEC's unhedged capacity allows it to sell 100% of its output at a premium to the spot price
3. Most of CCO's orders are already under long-term contracts. Its large production volume is limited by early price agreements, limits its bargaining power in the bull market

Street View vs. Our View

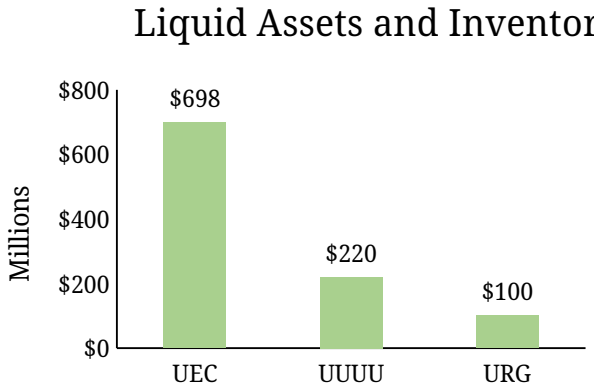
Street

UEC is a "high risk" asset because it lacks a guaranteed income floor from long-term contracts, making its cash flow highly vulnerable to declines in spot prices.

Our View

The unhedged strategy of UEC transforms it from a utility investment into a massive call option hedging uranium prices, with leverage 2-3 times that of similar hedging products.

Alternative Data Proves Competitiveness

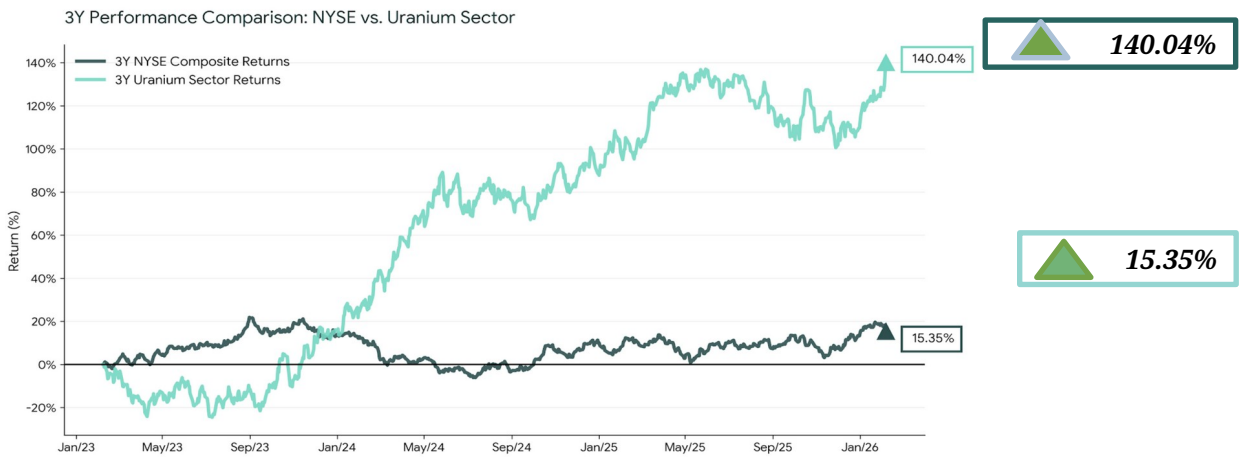


- Hub-and-Spoke Dominance
- Permitted Speed-to-Market

Sources: Analysis, Capital IQ, Company Filings, IBIS World

Thesis I: Lack of Long-term Contracts

After years of underperformance, the uranium sector reached at a major inflection point, impacting the spot price of uranium to move up



140.04%

15.35%

Why Softer Uranium Returns?

1. Investors see **less stable revenue and predictable margins**
2. **Projects have experienced delays** causing investor concern
3. **Myopic focus on AI** diverting attention away from the sector

… but we have reasons for optimism that the sector is at a broader inflection point

What is Happening?

Utility contracting is delayed and more uranium demand is not met for future years

Less bargaining power for UEC because they have less stable "term contract book" than peers, making earnings more volatile

Uranium Market Sentiment

Uranium producers behave like growth companies, which value is driven by future production and future pricing.

Uranium equities are highly sensitive to market patience and trade on sentiment rather than fundamentals.

Source of Diversification

Sense of interest in uranium from broader investor base, primarily provides exposure to a highly [redacted]odity

BlackRock Investor Report

17.9 B

in uranium divestiture

Impact

Market may apply a valuation discount due to weaker earnings visibility and contracting uncertainty in the present.

Catalysts

A Earnings Beat in Revenue

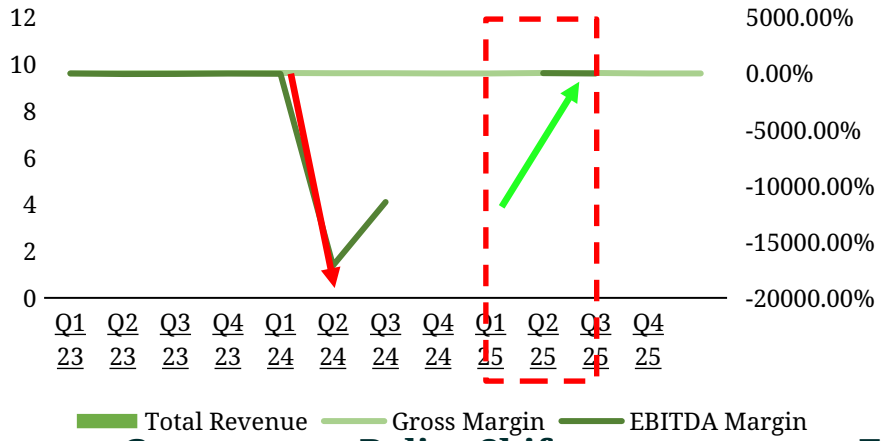
B Broader Healthcare Market Performance

Sources: Analysis, BCG, Blackrock, Bloomberg, Capital IQ, Company Filings, Precedence Research, Quatr Pro

Thesis II: Aggressive Ramp-Up and Overconfidence

Despite uneven revenue ramp, strong margins when producing indicate strong underlying economics.

Revenue Growth with Margin Inconsistency



Street View vs. Our View

Street

UEC's aggressive expansion and vertical integration push into conversion appears **overambitious** given the limited production history and execution risks.

Our View

While we recognize simultaneous ramp-up challenges, UEC's position as largest US producer with strong government support, zero debt, and $698M cash should enable successful execution into 2026/2027.

Government Policy Shift

Federal Support

FAST-41 Permitting

FAST-41 made management accelerate Sweetwater and ramp Wyoming, underestimating required execution bandwidth.

Defense Production Act

Policy tailwinds drove expansion and DPA emboldened UEC to aggressively pursue multi-facility ramp and vertical integration.

Amir Adnani, UEC President and CEO (May 2025)

"UEC is ready to support this transformation with secure, reliable, and 100% domestic uranium supply to power the future."

Q2 2025 Revenue Ramp

191 %

First Positive EBITDA since Q1 25

Execution Concerns Optical, Not Structural

FY24 Gross Profit = **$0.04M**

FY25 Gross Profit = **$24.48M**

+611X

FY24 Gross Profit Margin = **16.5%**

FY25 Gross Profit Margin = **36.6%**

+121.8 %

Margin expansion validates profitable scalability

Argument About Unproven Scalability

UEC's **29,738% YoY revenue growth** from Wyoming restart (199K lbs through Oct 2025) with **37% gross margins** shows ISR viability, but limited track record at 12.1M lb scale.

Catalysts

A Uranium Price Surge

B Government Regulatory Support

Sources: Analysis, Bloomberg, Capital IQ, Company Filings, Equity Research, Quatr Pro

Thesis III: Capex Blowout and Labor Cost Due to Infl

Street is concerning that UEC is facing capex and labor cost like other Uranium companies

The Street's concerns versus UEC's actual operations

Short Sellers See		UEC's Operations
Sector-Wide Inflation		ISR avoids massive earth-moving fleets
"Unprofitable" Resources	V S	3 Central plants are already built
Restart with expensive infrastru cture.		High margin despite restarting cost
Sentiment & Credibility Overhang		**Undamaged Margin & Leverage**

More on UEC's Strategies

ISR (In-Situ Recovery) mining helps avoiding massive earth-moving fleets and heavy labor. **Headcount** is a fraction of conventional mines.

UEC utilizes **Hub-and-Spoke** strategy with 3 central plants **(Irigaray, Hobson, Sweetwater) already built**, avoiding hundreds of millions in new Capex.

Recent restart achieved **Cash Cost of ~$30/lb,** confirming high margins against ~$80/lb spot price.

UEC already holds fully permitted capacity of 4M lbs/yr in Texas and Wyoming, expediting future permitting and insulating them from regulatory limbo.

Recent Operational Updates Remove Overhang

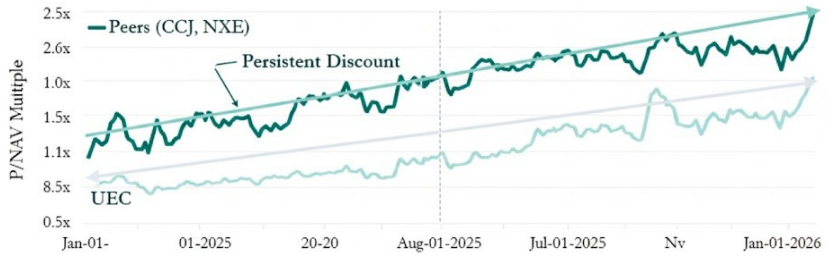
The fiscal 2025/2026 filings confirms that the "Blowout" has not **materialized:**

Cash Cost
~$29.90 – $36.41 per pound (vs. Spot Price ~$80.00/lb).

Balance Sheet
~$321M in liquid assets, **Zero Debt.**

Capex
Restart costs were minimal "refurbishment" rather than greenfield construction.

…Leads to Variance on Valuation Multiple



The Disconect: Market prices UEC as a 'high-risk developer' facing inflation…
The Reality: UEC is "low-cost producer' with unhedged inventory.
Opportunity: UEC trades at diades an discount to NAV compared to a peers, despaite having 100% peers, deetie 100% unhegged exposure to risngusture to rising uranium prices. The structural advarl advantage of ISR miantage of ISR in labor) (low labor) (low capex) in riss, represarant UEC from inflation the sector-whe good buying opportunity.

The Securities class-action lawsuit carries no material risk for the business while discounting by 2.4x turns of EBITDA, this represents a good buying opportunity

Sources: Analysis, Company Filings, The Roseen Law Firm, , Reuters

IV.

Valuation

Intrinsic Valuation

Discounted Cash Flow Analysis

Income Statement	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Revenue	0	0	231	164	0.224	66	198	1172	911	1172	1435
Expenses											
G&A	9	12	15	20	21	27	31	33	36	39	45
D&AD	0.31	0.393	1.38	2	2.18	4.47	8.5	15	30	53	45
Mineral Property Expenditure	0	4	10	19	32	66	50	84	152	227	246
Operating Expenses	0	17	3	40	56	98	89	133	218	319	375
EBITDA	-14	-15	5	-3	-29	-88	108	409	693	853	1060

	2026E	2027E	2028E	2029E	2030E
EBIT	100	394	663	800	975
(-) Cash Taxes	2	3	17	21	39
NOPAT	98	391	646	779	844
(+) D&A	8	15	30	53	85
EBITDA	106	406	676	832	929
(-) Capex	8	21	36	47	57
(+) Changes in NWC	22	54	91	41	36
Unlevered FCF	**120**	**443**	**731**	**828**	**1002**
Present Value of FCFF	110	378	576	603	673

Sources: Analysis

Intrinsic Valuation:

Discounted Cash Flow Analysis Cont'd

Implied Share Price	
Present Value of the Terminal Value	12021
Present Value of Free Cash Flow	
Enterprise Value	6332
(+) Cash	1438
(-) Debt	0
Equity Value	7771
# of Shares Outstanding	474200
Implied Price per Share	16.39

Weighted Average Cost of Capital	
Market Cap (B)	7.79
Cost of Equity	
Risk Free Rate	4.21%
Market Risk Premium	8.35%
Beta	1.4
Cost of Equity	10.0%
Debt	0
Cost of Debt	
Interest Rate	2.1%
Tax Rate	3.4%
Cost of Debt	0%
WACC	8.25%

Weighted Implied Share Price		
	Share Price	**Weight**
Bear	**11.50**	**20%**
Base	**16.39**	**60%**
Bull	**22.00**	**20%**
Average Weighted Share Price		**16.53**

Decision

We see UEC as a compelling long with upside across bear, base, and bull cases, implying a 15%-18% 2-year IRR. Our base-case valuation supports a 16.50 price target, offering 30-40% upside, with additional upside potential under a higher uranium price.

We have high conviction that UEC will meet base-case expectations and outperform, with downside risk limited by conservative market assumptions around uranium prices and execution risk that already reflected in the current share price.

Key Assumptions We Believe In

Rev. Growth

Revenue Growing at a CAGR of 9.4% over the N5Y

Margin Expansion

EBITDA normalize to pre-FSP levels as production reaches steady state

Multiple Rerate

EV/EBITDA Returns to Industry Avg.

Sources: Analysis

V.

Catalysts & Risks

Variant View & Catalysts

Rational behind our differentiated view and the key catalyzed causing future price correctionsv

Our View vs. Street View - Holding Q1 26 to Q1 28

KPI	Street View	Our View	Source of Variance
Revenue	+12% YoY	+16% YoY	Mexico license ramp and US charter optionality not captured in Street view
Gross Margin	+39% YoY	+42% YoY	Cohort economics driving ARPAC expansion while cost-to-serve stays flat
EV/ EBITDA	7.5x	9.5x	U.S-based ISR assets warrant a premium to global peers given lower geopolitical risk and strategive uranium exposure

Catalysts

Thesis I and II Provide Earnings Beat on Revenue and Margin inflection	Over the next 1-2 years, look for revenue and margins to stop compressing and begin normalizing as ISR production and uranium contracting ramps more deliberately than feared.
Uranium Price and Contracting Environment	Realized pricing improves as utilities re-enter the contracting cycle, supporting higher revenue visibility and margin normalization without relying on spot price appreciation.
Improves Resolution or Visible De-Risking of Ongoing Lawsuit	Improved production visibility and cash flow stability support a re-rating toward peer multiples, reflecting lower geopolitical risk and the strategic value of U.S.-based uranium supply.

Sources: Analysis

Risks & Mitigation

UEC has some risks which should be acknowledged, but there are ways to cover the risks

Thesis Risks	Mitigant	Realization/Impact
Spot Price Risk UEC 's revenue is tied to the current spot price of Uranium	They have 1.36 million lbs of physical uranium in storage, which provides Inventory-Based Liquidity, maximizing realized prices during peaks.	
Geopolitical Risk Potential supply chain disruptions from the global ban on Russian uranium	UEC captures a domestic security premium from Western utilities that are aggressively de-risking away from Geopolitical risks.	
Financial Dilution Risk Aggressive ramp-up schedules and management overconfidence regarding production timelines	UEC has a debt-free balance sheet, ensuring production scales incrementally while maintaining a massive liquidity cushion to absorb any operational delay	
Operational Transitioning Risk Wellfield delays during its transition to active production could cause missed targets and increased costs	UEC utilizes a model and a fully refurbished central plant, allowing them to maintain steady production by shifting focus between multiple sites projects to	

The risks are mostly industry-wide, UEC’s current stock setup is ideal for our bet

Sources: Analysis

VI.

Appendix

Intrinsic Valuation

Discounted Cash Flow Analysis

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DCF (II of II)

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Beta	1.4
Cost of Equity	10.0%
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Interest Rate	2.1%
Tax Rate	3.4%
Cost of Debt	0%
WACC	8.25%

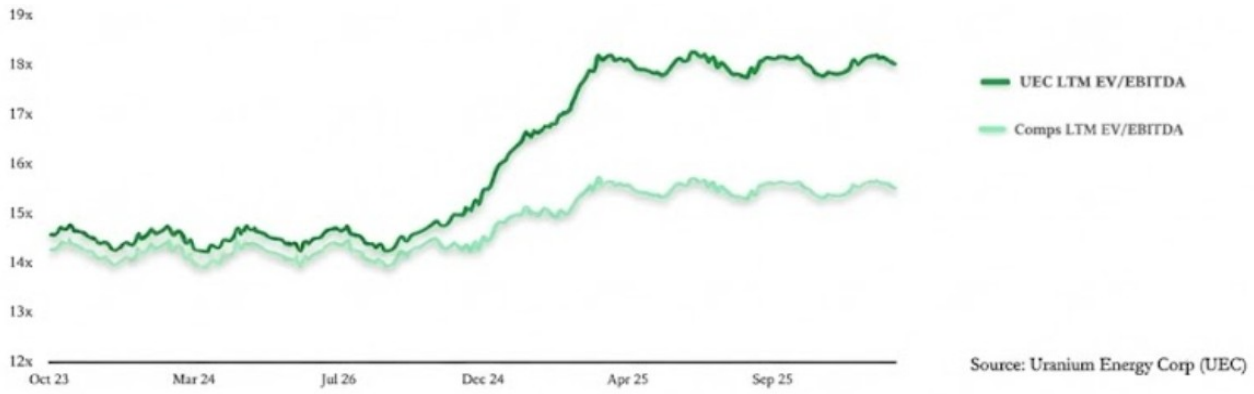
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	Share Price	**Weight**
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Present Value of the Terminal Value	12021
Present Value of Free Cash Flow	
Enterprise Value	6332
(+) Cash	1438
(-) Debt	0
Equity Value	7771
# of Shares Outstanding	474200
Implied Price per Share	16.39

Sources: Analysis

Relative Valuation

Companies	Market Cap	Enterprise Value	TTM EBITDA	Price/Earnings	EV/EBITDA
Kazatomprom (LSE: KAP)	22,700,000,000	21,740,000,000	1,055,588,000	18.76	10.42x
Boss Energy Ltd (ASX: BOE)	809,490,000	762,230,000	-11,033	21.07	20.83x
Denison Mines Corp (TSE: DML)	5.130,000,000	4,940,000,000	-183,784	34.08	27.66x
Cameco Corp (NYSE: CCJ)	57,960,000,000	58,120,000,000	1,070,623	150.17	73.50x
Ur-Energy Inc (NYSE: URG)	716,870,000	667,250,000	-83,674	-8.61	-15.13x
enCore Energy Corp (NYSE: EU)	662,550,000	656,130,000	-47,968	-11.43	-49.70x
Mean	14,663,151,667	14,480,935,000	176,055,361	34	11.26x
Median	2,969,745,000	2,851,115,000	-29,501	20	15.63x
Uranium Energy Corp (NYSE: UEC)	8,990,000,000	8,540,000,000	-72,754	167	−66.8x



Sources: Analysis, Capital IQ